

Hindustan Zinc Ltd (HINDZINC)

BSE: 500188 | NSE: HINDZINC | Sector: Non-Ferrous Metals — Zinc / Lead / Silver

RATING	12M TARGET	CMP (29-Apr-26)	UPSIDE	MKT CAP	52W H/L
BUY	Rs. 730	Rs. 613	+19.1%	Rs. 2,59,096 Cr	Rs. 733 / Rs. 398

P/E (FY26A)	18.8x	EV/EBITDA	11.6x	ROCE	69.6%	ROE	76.8%
Book Value	Rs. 53.6	Div Yield	1.79%	Debt/Equity	0.39x	Int Coverage	22.0x
Promoter	60.71%	Pledge %	9.44%	FII	2.39%	Forward PE	12.9x
Face Value	Rs. 2.00	Enterprise Val	Rs. 2,67,505 Cr	Net Cash	Rs. 5,594 Cr	FCF Yield	~4.5%

Investment Thesis: World No.2 zinc + No.3 silver producer — Rs. 16,000 Cr capex to double volume by FY28-29, silver structural re-rating, record FCF of Rs. 11,746 Cr underpin 19% upside to Rs. 730.

Report Date: 29-Apr-2026 | Analyst: Senior Equity Research, Metals & Mining | Data Source: Screener.in (Consolidated)

SECTION 2 — INVESTMENT THESIS

Reason 1: Capacity Doubling at Industry-Leading Costs

HZL is executing a Rs. 16,000 Cr capex programme to expand mined metal capacity from 1.2 MTPA to 1.5 MTPA by FY28 and ultimately 2.26 MTPA by 2030. The 250 ktpa Debari smelter (Rs. 12,000 Cr, commissioning Q2 FY29) and zinc tailings project (Rs. 3,800 Cr, Q4 FY28) underpin the next earnings leg. With zinc cost of production at a 16-quarter low of \$903/t in Q4 FY26 — versus global median above \$1,200/t — HZL operates in the bottom cost quartile globally. This combination of volume growth and cost competitiveness should deliver 15-20% earnings CAGR through FY28.

Reason 2: Silver — A Free Call Option Turning Into a Primary Driver

Silver contributed Rs. 9,841 Cr to FY26 revenue (up 61% YoY). With FY27 production guidance of 680 tonnes and a long-term target of 1,500 TPA by FY30, silver is evolving from a by-product to a primary growth engine. Given HZL's status as the world's No. 3 silver producer and structurally rising industrial silver demand (solar panels, EV batteries, electronics), this segment alone could represent 30% of revenue by FY30 — a structural re-rating catalyst.

Reason 3: Best-in-Class Returns and Fortress Balance Sheet

HZL generated Rs. 11,746 Cr of FCF in FY26 (yield 4.5%) and holds net cash of Rs. 5,594 Cr. ROCE of 70% and ROE of 77% are unmatched among Indian metals peers. The company has reduced gross debt from Rs. 11,881 Cr (FY23) to Rs. 8,728 Cr (FY26). FY27 renewable energy target of 30-35% could lower CoP by \$25/t, further boosting margins.

Near-Term Catalyst (6-12 months): Fertilizer plant commissioning at Chanderiya (510 ktpa, Q1 FY27) and continued silver price momentum from solar/EV demand.

Key Structural Risk: HZL is 60.71% held by Vedanta (Anil Agarwal group), which has historically extracted large dividends to service its own holding-company debt — a risk of capital allocation misalignment that keeps the stock at a governance discount to intrinsic value.

SECTION 3 — BUSINESS OVERVIEW

Hindustan Zinc Limited (HZL), incorporated in 1966 and headquartered at Zinc City, Udaipur, Rajasthan, is the world's second-largest integrated zinc producer and third-largest silver producer globally, with annual mined metal capacity of 1.2 MTPA. The company is 60.71% held by Vedanta Ltd (Anil Agarwal group) and 27.92% by the Government of India, making it a strategic national asset with a unique dual-principal ownership structure.

Core Operations: HZL operates world-class underground zinc-lead mines — including the world's largest underground zinc mine at Rampura Agucha — along with smelting complexes, entirely within Rajasthan. It is self-sufficient in power via captive thermal plants and is scaling up wind and solar capacity. HZL commands approximately 75% of India's primary zinc market.

Revenue Mix (FY26A, estimated): Zinc metal ~55%, Lead metal ~10%, Silver ~24%, Wind energy and other ~11%. Domestic sales account for ~75% of revenue; exports ~25%, primarily to China, Southeast Asia, and Europe.

Key Customers: Zinc is primarily consumed by India's steel galvanizing sector — customers include JSW Steel, Tata Steel, and JSPL. Silver is sold to global industrial users (electronics, solar, EV batteries) and bullion dealers.

Strategic Developments (FY25-26): (i) Secured three critical mineral blocks — potash, tungsten, rare earth elements — as part of a multi-metal enterprise strategy; (ii) Commissioned EV bulker fleet at Debari smelter; (iii) Chanderiya smelter became India's first Zinc Mark site under Copper Mark validation; (iv) Featured in S&P; Global Sustainability Yearbook Top 1% for the ninth consecutive year. FY26 mined metal crossed 1.1 MT for the first time.

Revenue Visibility: Production guidance for FY27 (1,150 kt mined, 1,100 kt refined, 680 t silver) and LME hedges (71 kt zinc at \$3,225/t and 59 t silver at \$60/troy oz for FY27) provide approximately 40% revenue visibility for the coming year.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The global refined zinc market is approximately 14 million tonnes per year (2026E), valued at ~\$44 billion and growing at ~5% CAGR through 2031. India's zinc market (~800-850 kt/year domestically, growing ~7% p.a.) is driven by: (i) India's National Infrastructure Pipeline (USD 1.4 trillion), which requires galvanized steel for transmission towers, railways, and highways; (ii) growing auto and EV manufacturing; and (iii) export demand from Southeast Asia. Global silver demand is expanding at 8-10% CAGR, led by solar panel manufacturing (each GW of solar requires ~60 tonnes of silver) and EV batteries.

Policy Tailwinds: India's PLI schemes for EV and solar manufacturing directly stimulate downstream zinc and silver demand. HZL's entry into critical minerals (potash, tungsten, rare earths) positions it for potential government support.

Competitive Moat Assessment — STRONG: HZL benefits from: (i) captive, fully-permitted mines with 453 MT reserves (25+ years mine life); (ii) proximity of mines to smelters reducing logistics costs; (iii) 75% domestic market share with no meaningful domestic rival; (iv) vertically integrated power (1,162 MW) insulating from grid volatility. The combination of resource ownership, processing scale, and captive power creates a virtually unassailable domestic moat.

Company	CMP (Rs.)	MCap (Rs.Cr)	P/E	EV/EBITD A	ROCE%	ROE%	D/E	OPM%
Hindustan Zinc	613	2,59,096	18.8	11.6	69.6	76.8	0.39	54
Vedanta Ltd	774	3,02,549	35.0	13.2	16.5	19.0	0.56	28
Natl. Aluminium	433	79,590	13.0	8.09	44.0	32.7	0.00	45
Hindustan Copper	555	53,651	81.1	49.1	23.7	18.6	0.05	36

Source: Screener.in as of 29-Apr-2026. OPM% for HZL is FY26A; peers are FY25A.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Team: CEO Arun Misra (veteran mining engineer; outspoken and accessible) and CFO Sandeep Modi have demonstrated consistent operational execution — mine grade recovery has held above peer benchmarks, and cost of production has declined structurally to ~\$903/t in Q4 FY26.

Capital Allocation History: Over FY21-FY26, HZL generated cumulative OCF of ~Rs. 87,000 Cr and paid out large special dividends (e.g., FY23 payout 303% of PAT), largely to service Vedanta's holding-company debt. However, management has now shifted toward reinvesting FCF into Rs. 16,000 Cr of growth capex — a structural change if

sustained. FY26 payout of 64% of PAT is the lowest in years.

Dividend Policy: Rs. 11 interim dividend declared for FY27 (record date Apr 30, 2026), backed by retained earnings of Rs. 22,000 Cr. CFO confirmed dividend policy is based on retained earnings, not just current year PAT. Yield at CMP: 1.79%.

Governance Concerns: (i) Promoter pledge at 9.44% — residual Vedanta leverage concern; (ii) Promoter holding declined from 64.92% to 60.71% over 3 years (-4.22%); (iii) Related-party transactions (~Rs. 600 Cr in Q4 FY26 from smelter residue processing) add noise; (iv) Iran-related input cost spikes (CEO flagged this directly); (v) Fatality at Zawar mines in Q4 FY26.

ESG: Top 1% S&P; Global Sustainability Yearbook (9 years running); targeting 30-35% renewable energy by FY27; Chanderiya smelter first in India to achieve Zinc Mark status.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Crores)

Income Statement

Rs. Crores	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue	34,098	28,932	34,083	40,844	45,500 (E)	51,000 (E)
YoY Growth %	16%	-15%	18%	20%	11%	12%
EBITDA	17,515	13,676	17,431	22,064	23,660	27,540
EBITDA Margin %	51%	47%	51%	54%	52%	54%
Other Income	1,370	1,054	857	1,115	900	900
Interest	333	955	1,095	881	800	700
Depreciation	3,264	3,468	3,640	3,790	4,200	4,800
PBT	15,288	10,307	13,553	18,508	19,560	22,940
Tax %	31%	25%	24%	25%	25%	25%
PAT	10,511	7,759	10,353	13,832	14,670	17,205
EPS (Rs.)	24.88	18.36	24.50	32.74	34.70 (E)	40.71 (E)
Dividend Payout %	303%	71%	118%	64%	65%	60%

Balance Sheet

Rs. Crores	FY23A	FY24A	FY25A	FY26A
Equity Capital	845	845	845	845
Reserves	12,087	14,350	12,481	21,784
Total Equity	12,932	15,195	13,326	22,629
Borrowings	11,881	8,722	10,967	8,728
Other Liabilities	10,654	9,978	10,197	11,013
Total Liabilities	35,467	33,895	34,490	42,370
Fixed Assets	17,622	18,151	18,608	19,937
CWIP	2,237	1,696	2,606	3,409
Investments	10,107	10,452	9,972	14,468
Other Assets	5,501	3,596	3,304	4,556
Total Assets	35,467	33,895	34,490	42,370

Cash Flow Statement

Rs. Crores	FY23A	FY24A	FY25A	FY26A
Cash from Operations	15,162	13,346	14,160	17,008

Cash from Investing	6,529	-3,406	-2,706	-8,906
Cash from Financing	-23,224	-9,946	-11,411	-7,901
Net Cash Flow	-1,533	-6	43	201
Free Cash Flow	11,587	9,531	10,161	11,746
CFO / Operating Profit	104%	110%	101%	98%

Key Ratios

Rs. Crores	FY23A	FY24A	FY25A	FY26A
Debtor Days	4	2	1	4
Cash Conversion Cycle	4	2	1	4
Working Capital Days	-149	-104	-95	45
ROCE %	46%	61%	70%	~70%
Interest Coverage	52.6x	14.3x	15.9x	22.0x
Debt / Equity	0.92x	0.57x	0.82x	0.39x

Financial Commentary: FY26 was a landmark year — revenue grew 20% to Rs. 40,844 Cr and PAT surged 34% to Rs. 13,832 Cr, driven by LME zinc recovery, silver prices surging 60%+, and record mined metal production of 1.1 MT. EBITDA margin expanded to 54%. FCF of Rs. 11,746 Cr (yield ~4.5%) reflects the highest-quality cash conversion in sector. Working capital shifted to +45 days (from -95 in FY25) — a normalisation, not structural deterioration. Net debt turned negative (net cash Rs. 5,594 Cr) for the first time in several years. Forward estimates assume: (i) ~10% volume growth to 1,150 kt mined in FY27; (ii) silver at 680 tonnes; (iii) zinc CoP rising to \$975-1,000/t (management guidance); (iv) capex accelerating to ~Rs. 10,000 Cr p.a. in FY27-28. Near-term FCF compression is acceptable given NPV of volume addition from Debari smelter (250 ktpa new capacity).

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Assessment
Revenue Recognition	GREEN	Commodity spot pricing — minimal subjectivity; transparent and auditable
Receivables vs Revenue Growth	GREEN	Debtor days = 4; near-zero receivables risk in a commodity B2B model
Cash Conversion Cycle Trend	AMBER	CCC shifted from -95d (FY25) to +45d (FY26) — merits monitoring in FY27
Contingent Liabilities	AMBER	Rs. 1,810 Cr contingent liabilities; manageable vs Rs. 42,370 Cr total assets
Auditor Tenure / Qualification	GREEN	Reputable auditor; no recent qualification or disclaimer
Related Party Transactions	AMBER	~Rs. 600 Cr RPT (smelter residue sold/bought via Vedanta affiliates) — gross-up, not economic leakage, but watch
Other Income as % of PBT	GREEN	Other Income Rs. 1,115 Cr vs PBT Rs. 18,508 Cr = 6% — low and improving
Tax Rate Consistency	GREEN	Stable 24-25% effective tax over FY24-FY26; no deferred tax anomalies
CFO / EBITDA Quality	GREEN	CFO/OP = 98-110% consistently; strong cash conversion; no working capital bleed

Summary: Earnings quality is HIGH — 6 Green, 3 Amber. Amber flags (CCC normalisation, RPTs, contingent liabilities) are manageable. Core commodity cash flow is clean and highly cash-generative.

SECTION 8 — VALUATION

Peer Comparison: HZL trades at 18.8x FY26A earnings — a discount to Hindustan Copper (81.1x) and Vedanta (35x) and a modest premium to NALCO (13x). On EV/EBITDA, HZL at 11.6x sits above NALCO (8.1x) but well below HINDCOPPER (49x). HZL's ROCE of 70% and ROE of 77% are materially superior to all peers, justifying a structurally higher multiple.

DCF Valuation: FCF grows from Rs. 11,746 Cr (FY26A) at 12% CAGR for 5 years (FY27-31) and 5% terminal growth; WACC 11%; terminal value discounted; less net debt (-Rs. 5,594 Cr net cash). DCF fair value = Rs. 700-740/share.

Earnings Multiple Valuation: FY27E EPS Rs. 34.70 at 20x P/E (sector benchmark for high-ROCE commodity leaders) = Rs. 694. At 21x (silver optionality premium) = Rs. 729.

Base-Case Target: Rs. 730 (average of DCF and earnings-based, implying 19.1% upside from CMP Rs. 613).

Scenario	Key Assumption	FY27E PAT	Multiple	Target Price	Upside
BULL	LME zinc >\$3,300; silver >\$65/oz; full capex on schedule	Rs. 16,500 Cr	22x	Rs. 860	+40%
BASE	LME zinc ~\$3,100; silver ~\$58/oz; FY27 guidance met	Rs. 14,670 Cr	20x	Rs. 730	+19%
BEAR	LME zinc <\$2,700; China slowdown; capex delay	Rs. 11,500 Cr	16x	Rs. 525	-14%

Company	CMP	MCap (Rs.Cr)	P/E	EV/EBITDA	P/B	ROCE%	Div Yield
Hindustan Zinc	613	2,59,096	18.8	11.6	11.4	69.6	1.79%
Vedanta Ltd	774	3,02,549	35.0	13.2	6.1	16.5	5.62%
Natl. Aluminium	433	79,590	13.0	8.09	4.0	44.0	2.42%
Hindustan Copper	555	53,651	81.1	49.1	18.0	23.7	0.26%

Source: Screener.in as of 29-Apr-2026. All peer data from individual Screener pages.

SECTION 9 — KEY RISKS

Risk	Description	Prob	Impact	Monitor
LME Price Volatility	HZL revenue directly tied to global zinc and silver prices. 10% LME zinc decline = ~Rs. 2,200 Cr revenue impact. China slowdown or USD strength are key triggers.	Medium	High	Monthly LME prices; China PMI; USD index
Capex Execution Risk	Rs. 16,000 Cr capex (Debari smelter FY29, tailings FY28, fertilizer FY27). Cost overruns or delays would impair volume growth thesis materially.	Medium	High	Quarterly capex actuals vs budget; project milestones
Promoter Dividend Extraction	Vedanta holding-company debt creates structural incentive to extract large dividends from HZL, limiting capex commitment in FY27-28.	Medium	Medium	Dividend per quarter; Vedanta debt refinancing news
Promoter Pledge / Stake Decline	Pledge at 9.44%; promoter stake declined 4.22% over 3 years. Forced pledge invocation could create selling pressure.	Low-Med	Medium	Quarterly shareholding pattern; pledging disclosures
Input Cost Inflation	CEO flagged Iran-related geopolitical factors tripling key input costs. CoP guidance of \$975-1,000/t for FY27 is 10% above Q4 FY26 actuals.	Medium	Medium	Quarterly CoP; crude oil; chemical prices
Mine Safety & Regulatory	Fatality at Zawar mines in Q4 FY26. Repeated incidents could invite regulatory scrutiny or mining licence challenges for underground operations.	Low	Medium	Safety incident reports; DGMS regulatory orders
Royalty / Tax Policy	Government holds 27.92% and may seek higher royalties as a revenue measure. Change in mineral royalty structure could reduce EBITDA margins 100-200 bps.	Low	Medium	Union Budget; Mines and Minerals policy updates

SECTION 10 — FINAL RECOMMENDATION

Rating	BUY — High Conviction
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12-Month Price Target	Rs. 730 (19.1% upside from CMP Rs. 613)
Suggested Entry Zone	Rs. 580-625 (accumulate on dips; avoid chasing above Rs. 650)
Investment Horizon	12-18 months for base case; 3 years for full capex optionality
Ideal Investor Profile	Commodity cycle investors; long-term holders comfortable with Vedanta governance overhang; silver bull thesis plays
Conviction Level	HIGH — record FY26 financial performance, visible production ramp, silver as structural growth driver

Thesis Invalidation Triggers

1. LME zinc falls below \$2,600/t for two consecutive quarters (demand destruction or China-led oversupply)
2. HZL defers Debari smelter or announces material capex increase beyond Rs. 20,000 Cr without volume upside clarity
Vedanta extracts a special dividend above Rs. 25/share in FY27, signalling return to capital extraction over reinvestment
- 3.

APPENDIX — Latest Concall Brief: Q4 FY26 (Full Year FY26)

Date: April 24, 2026 | CEO: Arun Misra | CFO: Sandeep Modi | IR: Raksha Jain

CALL GRADE: POSITIVE

Signal	Status	Implication
Result Quality	Strong	Revenue +49% YoY; PAT +68% YoY; EBITDA +61% YoY — clean beat across all metrics
Management Tone	Bullish	CEO flagged "best ever quarter"; confident on FY27 guidance; transparent on cost headwinds
Guidance Delta	Raised	Production guidance raised; capex programme confirmed at Rs. 16,000 Cr; no downgrades

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean, high-quality beat with zero distorting one-offs — reported PAT of Rs. 5,033 Cr (+68% YoY) is the genuine underlying number driven by zinc LME recovery, a near-tripling in silver realisations, and record mine volumes. EBITDA grew 61% YoY to Rs. 7,706 Cr with margin expanding 420 bps to 57%, the highest in at least five years. The operational pivot is real: mined metal crossed 1.1 MT for the first time in FY26 and HZL achieved the lowest zinc cost of production since underground transition at \$903/t in Q4 — structural improvement, not a one-quarter fluke. The multi-bagger thesis rests on three pillars: (i) volume doubling via the Rs. 16,000 Cr capex programme (Debari smelter in FY29 is the major swing factor); (ii) silver becoming a primary revenue driver (Rs. 9,841 Cr in FY26, targeting 1,500 TPA by FY30 from 627 t in FY26); (iii) net cash of Rs. 5,594 Cr giving balance sheet optionality. The biggest near-term watch-point is CoP guidance creep — management flagged \$975-1,000/t for FY27 vs \$903/t in Q4, partly due to geopolitical input cost headwinds (CEO explicitly cited the Iran situation), which could compress margins 200-300 bps. Primary risk is Vedanta's dividend extraction impulse — the FY26 payout was 64% (lower than prior years) but must be watched against the Rs. 16,000 Cr capex commitment. Action: ACCUMULATE at Rs. 580-625; target Rs. 730 on 20x FY27E EPS of Rs. 34.70.

1. Financial Performance Snapshot — Q4 FY26 vs Q4 FY25

Metric	Q4 FY26	Est [EST]	YoY Chg	QoQ Chg	Verdict
Revenue (Rs. Cr)	13,544	~12,000 [EST]	+49%	+23%	BEAT
EBITDA (Rs. Cr)	7,706	~6,800 [EST]	+61%	+27%	BEAT
EBITDA Margin %	57%	~55% [EST]	+420 bps	+250 bps	BEAT
PBT (Rs. Cr)	6,751	~5,800 [EST]	+92%	+29%	BEAT
PAT (Rs. Cr)	5,033	~4,200 [EST]	+68%	+29%	BEAT
EPS (Rs.)	11.91	~9.94 [EST]	+68%	+29%	BEAT

2. Segment / Product Breakdown — Q4 FY26 (Estimated)

Segment	Revenue (Rs.Cr)	YoY %	QoQ %	Commentary
Zinc Metal	~7,500	+35%	+20%	LME zinc recovery + 282 kt refined metal in Q4; volume ramp continues
Lead Metal	~1,300	+25%	+18%	Lead prices firm; ~225 kt annual production (FY25 base)
Silver	~4,200	+~150%	+~80%	Silver prices surged; 176 t produced in Q4; FY26 total 627 t (+ 37 t in transit)

Wind Power & Other	~544	+10%	+5%	Stable renewable contribution; not material to thesis near-term
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Note: Segment estimates are indicative based on FY26 full-year proportions. HZL does not publish quarterly segment splits.

3. Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Production Record	1.1 MT mined metal crossed for first time; 315 kT in Q4 — highest quarterly ever	Operational excellence intact; FY27 guidance of 1,150 kt is credible given Q4 run rate	[GUIDANCE]	Transparent
Silver Monetisation	FY26 silver = 627 t (+ 37 t in transit); FY27 guidance 680 t; target 1,500 TPA by FY30	FY27 guidance appears conservative; watch actual run rate; structural demand from solar/EV supports silver thesis	[GUIDANCE]	Hedged
Zinc Cost of Production	Q4 FY26 CoP \$903/t (16-quarter low, -9% YoY); FY27 guidance \$975-1,000/t	Q4 benefited from higher grades; FY27 guidance implies 10% CoP increase due to geopolitical risks — honest and credible	[GUIDANCE]	Transparent
Capex Programme	Rs. 16,000 Cr total; 20%/50%/30% split FY26/FY27/FY28; Debari smelter Q2 FY29	FY27 capex step-up is key variable; near-term FCF compression acceptable given NPV of volume addition	[GUIDANCE]	Transparent
Dividend Policy	Rs. 11 interim FY27; supported by Rs. 22,000 Cr retained earnings; policy = retained earnings basis	Lower payout (64%) vs historical — positive signal that capex now prioritised; watch FY27 trajectory	[GUIDANCE]	Transparent
Geopolitical Input Costs	CEO: Iran situation has trebled some key input costs; anticipating pressure in FY27	Specific and honest; \$25/t renewable savings could partially offset; track quarterly CoP closely	[GUIDANCE]	Transparent
RPT / Other Expenses	35% sequential rise in other expenses due to smelter residue ancillary agreements	CFO explained Rs. 600 Cr circular gross-up on both revenue and expenses — economically neutral but adds noise	[EVASIVE]	Hedged

4. Operating & Business Metrics

Metric	Q4 FY26	Q3 FY26	Q4 FY25	Trend
Mined Metal Production (kt)	315	~275	~270	RECORD HIGH
Refined Metal Production (kt)	282	~261	~252	UP
Silver Production (tonnes)	176	~159	~155	UP +11% QoQ
Zinc CoP (\$/tonne)	903	~940	~990	16-QTR LOW
Domestic Zinc Market Share	~75%	~75%	~75%	STABLE
Total Reserves (million tonnes)	453.2	N/A qtrly	~456	STABLE
Net Cash Position (Rs. Cr)	5,594	N/A	N/A	POSITIVE
FCF FY26 (Rs. Cr)	11,746	N/A	10,161	+16% YoY

5. Margin Drivers — Q4 FY26

Driver	Impact (bps)	Recurring?	Comment
Higher LME Zinc Price (+~15% YoY avg)	+~300	Partial	LME partially cyclical; FY27 partially hedged at \$3,225/t (71 kt)
Record Silver Realisations	+~600	Partial	Silver price structural from solar/EV; FY27 partially hedged at \$60/oz (59 t)
Lower Zinc CoP (-9% YoY)	+~150	Partial	Higher grades in Q4; FY27 CoP guidance \$975-1,000/t — not fully recurring
Volume Leverage (Fixed Cost Absorption)	+~80	Yes	Structural as volumes grow toward 1.5 MTPA target
RPT Gross-Up (other expenses)	--50	Watch	Rs. 600 Cr circular arrangement — neutral economically but watch for expansion

Renewable Energy Progress	~30	Growing	FY27 target 30-35% renewable; could save ~\$25/t on CoP
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6. Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
Mined Metal FY27 [GUIDANCE]	1,100 kt	1,150 kt	RAISED	High
Refined Metal FY27 [GUIDANCE]	1,050 kt	1,100 kt	RAISED	High
Silver Production FY27 [GUIDANCE]	650 t	680 t	RAISED	Medium
Zinc CoP FY27 [GUIDANCE]	\$950-1,000/t	\$975-1,000/t	STABLE	High
Growth Capex FY27 [GUIDANCE]	~\$400M	~\$500-600M	RAISED	High
Renewable Energy FY27 [GUIDANCE]	25-30%	30-35%	RAISED	Medium
Debari Commissioning [GUIDANCE]	Q2 FY29	Q2 FY29 (Reiterated)	MAINTAINED	Medium

7. Capital Allocation — FY26

Item	FY26 (Rs.Cr)	FY25 (Rs.Cr)	Comment
Growth Capex	~3,200	~1,500	Debari smelter, tailings, fertilizer plant; FY27 to step up to ~Rs. 8,000 Cr
Maintenance Capex	~2,400	~2,400	Routine underground mine maintenance and smelter upkeep
Dividends Paid	~8,900	~12,200	FY26 payout 64% of PAT; structurally lower vs FY25 (118%) — positive for thesis
Net Debt Reduction	~2,239	-2,245	Gross debt reduced Rs. 10,967 Cr to Rs. 8,728 Cr; net cash Rs. 5,594 Cr
FCF (before growth capex)	11,746	10,161	Highest ever; FCF yield ~4.5% at CMP; strong underlying cash quality

8. Q&A; Heat Map

#	Question	Management Answer (Summary)	Tone
1	Hedging details for zinc and silver Q1 FY27 and full year FY27?	Q1 FY27: zinc 20 kT at \$3,100, silver 25 t at \$57/oz. FY27 full year: 71 kT zinc at \$3,225/t, 59 t silver at \$60/oz. — CFO Modi	Transparent
2	35% sequential rise in other expenses — what caused this?	Agreements with third-party ancillaries: sell smelter residues, buy back finished goods. Rs. 600 Cr on both sides. — CFO	Transparent
3	CoP was \$900/t in Q4 but FY27 guidance \$975-1,000/t — why the gap?	Q4 benefited from higher mining grades. FY27 faces geopolitical input cost uncertainty (Iran situation). — CFO	Transparent
4	Renewable energy target FY27 and cost impact?	Target 30-35% renewable in FY27. Could reduce CoP by ~\$25/t as renewable share increases. — CFO	Transparent
5	Dividend policy rationale — lower payout despite highest-ever profits?	Dividend based on retained earnings (Rs. 22,000 Cr), not just current year PAT. Rs. 11 interim for FY27 declared. Capex is priority. — CFO	Transparent
6	Silver FY27 guidance of 680 t appears conservative vs effective 664 t in FY26?	Well within reach; 680 t is minimum target. Upside possible if smelter throughput improves further. — Management	Hedged
7	Critical minerals blocks — timelines and capex commitment?	Potash, tungsten, rare earths blocks secured. Early stage exploration — no material capex committed yet. — CEO Misra	Hedged

Dodged questions to watch next quarter: (i) Specific IRR and timeline for critical minerals blocks; (ii) Exact FY27 total capex quantum (growth + maintenance combined); (iii) Vedanta parent debt refinancing status.

9. Risks Flagged on the Call

Risk	Flagged By	Probability	Impact	Timeline
Zinc CoP inflation (Iran input costs)	CEO Misra	High	Medium	FY27
Silver production guidance underwhelm	Analysts	Medium	Medium	FY27
Mine safety — Zawar fatality	CEO Misra	Ongoing	Medium	Ongoing

Capex overrun / delay (Debari)	Analysts	Low-Med	High	FY27-29
LME metal price reversal	Market risk	Medium	High	Ongoing

10. Analyst Verdict — Multi-Bagger Scorecard

Parameter	Status	Evidence
Revenue Visibility	INTACT	Production guidance raised; LME hedges locked; silver demand structural from solar/EV
Margin Trajectory	INTACT	EBITDA margin 54-57%; FY27 guidance implies ~52% — acceptable given CoP normalisation
Capital Allocation Quality	IMPROVING	Capex now prioritised over dividends — positive structural shift; Vedanta extraction risk remains
Competitive Moat	INTACT	75% domestic zinc market share; captive mines + power; no credible domestic competitor
Management Credibility	INTACT	Transparent on cost headwinds and dividend rationale; execution on volume targets has been consistent
Valuation Comfort	INTACT	18.8x FY26A P/E; 20x FY27E = Rs. 694; reasonable for 70%+ ROCE business with real volume growth ahead

Conviction Call: **INCREASED**

Metric	Current	5Y Average (est)	vs Average
P/E (FY26A)	18.8x	~20x	-6% (slight discount)
EV/EBITDA	11.6x	~12x	-3% (in-line)
ROCE	69.6%	~52.9%	+32% (well above avg)

Source: Screener.in | Ticker: HINDZINC | View: Consolidated | Transcript: Accessible (GuruFocus / BSE Reg 30 filing) | Concall Date: 24-Apr-2026 | Report: 29-Apr-2026

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. Forward estimates (E) are analyst projections and may not materialise. Past performance is not indicative of future results.